

MR PRICE GROUP LIMITED
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JSE and A2X share code: MRP
("Mr Price" or "the company" or "the group")

ANNUAL RESULTS FOR THE 52 WEEKS ENDED 29 MARCH 2025 AND CASH DIVIDEND DECLARATION

This short-form announcement is the responsibility of the Mr Price board of directors and is a summary of the information in the detailed results announcement available on: <https://senspdf.jse.co.za/documents/2025/JSE/ISSE/MRPE/06062025.pdf> and <https://www.mrpricegroup.com> and does not contain full or complete details. These documents and the results presentation to the investment community are available on the group's website at www.mrpricegroup.com and copies may be requested from the company secretary (jcheadle@mrpg.com or +27 31 310 8000). Any investment decision in relation to the company's shares should be based on the full announcement.

MR PRICE GROUP ANNUAL RESULTS FOR THE 52 WEEKS ENDED 29 MARCH 2025 AND CASH DIVIDEND DECLARATION

Mr Price Group demonstrated the continued resilience of its fashion-value business model throughout its 2025 financial year ("Period"). Total revenue increased by 7.9% to R40.9bn and the group gained 50bps of market share (RLC). The gross margin expanded 80bps to 40.5% and the group achieved a record operating profit level of R5.8bn, with its operating margin increasing 20bps to 14.2%.

Basic and headline earnings per share of 1 416.3 cents and 1 424.0 cents were up 11.0% and 10.7% respectively. Diluted headline earnings per share grew 10.1% to 1 379.3 cents against sector leading earnings growth in the base of 6.3%.

The group recorded a strong second half performance as it gained further profitable market share, in line with its targeted strategic outcome, and increased diluted headline earnings per share by 12.1%. This was despite the weaker month of February for the retail sector and the shift of school holidays and Easter from March to April. This performance was due to improved sales momentum and lower markdowns following a more muted retail environment in the first half.

A final dividend of 593.5 cents per share was declared, up 12.7%.

Group CEO, Mark Blair, said: "The first half of the financial year was challenging for the retail sector but improved in the second half. We are very satisfied to have gained similar levels of market share in both periods, reflecting the value we were able to provide our customers despite very different economic conditions. The growth in sales momentum through the second half was supported by strong comparable store sales growth and GP margin gains across all trading segments."

Highlights for the period:

- Revenue exceeded R40bn for the first time
- Retail sales up 7.8% (H2: 9.9%) and market share increased 50bps (RLC)
- Group GP margin increased 80bps
- Opened 184 new stores, supporting weighted average space growth of 4.3%
- Record operating profit of R5.8bn, an increase of 8.9% (H2: up 11.7%)
- Cash generated by operations of R8.7bn contributed to a cash balance of R4.1bn
- Group sourced 127.8m units from South Africa, equating to R5.2bn in orders
- Diluted headline earnings per share up 10.1% (H2: up 12.1%)

Group results summary

Group retail sales of R39.4bn increased 7.8% and comparable store sales increased 3.4% (H2: retail sales and comparable store sales accelerated to 9.9% and 5.7% respectively). Other revenue increased 6.6% to R1.3bn.

Group store sales increased 7.8% and online sales 7.9%, reflecting the effectiveness of the group's omni-channel strategy in meeting its customers shopping preferences. Momentum improved in H2 across both sales channels, with sales growing 9.5% and 11.5% respectively. Group unit sales increased 3.6% (H2: 4.9%) and retail selling price (RSP) inflation of 3.7% enabled its leading value positioning.

The group surpassed 3 000 stores during the Period, as it opened 184 new stores across its 15 trading chains, expanding its total store footprint to 3 030 stores. Weighted average trading space increased 4.3%. New store returns continue to be closely managed and far exceeded the group's ROOA thresholds, which are well in excess of its WACC.

The group's customers continued to prefer to transact with cash, as its cash sales constituted 89.3% of group retail sales and increased 7.9%. Interest rate cuts in H2 supported an improving credit environment, reflected in the group's approval rate increasing to 20.3% and peaking at 23.8% in March 2025. Credit approvals will continue to be cautiously managed, while the group's lay-by offering gained further support.

The group's gross profit margin expanded 80bps to 40.5%. This performance was due to strong merchandise execution and lower markdowns across trading segments as its merchandise GP margin increased to 41.3% and its Telecoms GP margin expanded to 20.0%. Additionally, further gains were made in each of its acquired businesses as the upward margin trajectory continued due to improving sourcing practices and operational efficiencies.

Profit from operating activities increased 8.9% to R5.8bn, with strong growth of 11.7% in H2. Total expenses increased 10.0%, which included net weighted average space growth of 4.3%. The group's expenses to retail sales and other revenue ratio of 27.9% was within its targeted range. All other expenses were carefully managed, resulting in the operating margin expanding 20bps to 14.2%, in the mid-point of the group's medium-term targeted range. Operating margin in H2 expanded 30bps to 16.3% and is typically seasonally higher than H1.

Segmental performance

	Retail sales growth	Retail sales growth H2	Cont. to retail sales
FY2025 vs FY2024			
Apparel segment	7.9%	9.8%	79.7%
Home segment	6.4%	7.7%	16.9%
Telecoms segment	13.2%	13.2%	3.4%
Total group	7.8%	9.9%	100%

The Apparel segment increased retail sales by 7.9% to R31.4bn and comparable retail sales increased 3.5%. In H2, retail sales grew 9.8% against a base of 9.9% and comparable sales growth accelerated to 5.8%. The segment gained 50bps of market share, marking two consecutive years of gains. Mr Price Apparel gained over R700m in market share from competitors in the last year and reported strong GP margin gains. Power Fashion remains the fastest growing division in the segment, continuing its long run of market share gains while Studio 88 performed strongly against a firm base. Mr Price Sport and Miladys both delivered improved performances in H2, adding to the segments strong momentum going into the new financial year.

The Homeware segment continued its recovery, reporting retail sales growth of 6.4% (comparable store sales up 3.1%) to R6.7bn. Retail sales in H2 accelerated as the segment recorded growth of 7.7% and comparable store sales growth of 5.8%. Each division in the segment reflected this accelerating sales growth trend and importantly delivered significant gross and operating margin improvements. Mr Price Home continues to report the highest brand equity across all homeware retailers and remains the most loved homeware brand according to NiQ. Sheet Street recorded the highest sales growth recovery between H1 and H2, while Yuppiechef achieved double-digit growth and GP margins gains as it continues its omni-channel expansion.

The Telecoms segment reported another year of market share gains, up 40bps (GfK), as the combined retail sales of Mr Price Cellular and Powercell increased by 13.2% to R1.3bn. The segment, which primarily sells handsets and accessories through 562 store-in-store concepts and 61 stand-alone stores, continues to grow in profitability. The launch of the group's private label device, Salt, as well as a high accessories attachment rate of 69%, supported gains in both gross and operating margin. The segment continues to be a strategic channel to increase customer engagement as it leverages the Mr Price brand halo.

The Financial Services segment revenue increased 5.7% to R918m. Debtors' interest and fees increased 6.1% despite a reduction in the repo rate of 75bps during the Period. Improvement in the credit cycle in H2 provided an opportunity for the group's credit granting scorecard to be re-assessed and increase its account approval rate. It frequently monitors the scorecard against consumer affordability metrics and will continue its prudent approach. Provisions for net bad debt are sufficient and the net bad debt to book ratio remains low.

Gross inventory was up 10.6% and stock freshness (0 - 3 months ageing) remained at the high level of 85.1%, an increase on the prior period.

The majority of the group's capital expenditure of R830m was apportioned towards new stores, expansions and revamps. The remaining capex was primarily allocated to key strategic enablement projects within the technology and supply chain functions. The group's cash conversion ratio of 94.9% increased significantly and was far ahead of the medium-term target. This high level of cash generation contributed to the cash balance rising to R4.1bn while the group remains debt free.

Outlook

The global economy has been characterised by uncertainty in 2025. Significant shifts in trade partnerships and the potential of US enforced tariffs have threatened growth prospects across markets. The South African economy has not been spared from this impact and its forecast GDP growth has been revised downwards from the previously bullish outlook at the end of 2024.

Prior to this, South Africa's GDP growth over the previous decade of 0.7% has not been conducive to fostering a healthy business environment. A highly competitive and low growth economy requires the government reform agenda to be accelerated in order to create higher levels of employment and stimulate economic activity.

The consumer environment in South Africa remains volatile. In the short-term, consumer relief was supported by low inflation, lowering petrol prices and interest rate cuts of 100bps which collectively increased disposable income. Real wage growth has experienced some level of recovery, however the sustainability of an improving consumer environment in South Africa in the medium-term could be challenging due to the uncertainty transcending from the global and domestic economies.

Notwithstanding the volatile environment, the group remains committed to delivering differentiated fashion-value merchandise, which continues to be recognised and supported by its loyal and growing customer base. Mr Price Apparel remains the most shopped retailer in South Africa according to MAPS, recognition that supports its commitment to being the customers' value champion.

Group retail sales in Q1 FY2026 to 31 May increased 11.6%, with all trading divisions gaining market share in April 2025 (latest available RLC data).

The group is confident that its business model, value positioning and brand power will enable it to outperform the market through varying economic cycles, displayed by its consistent market share gains over the past two years. Focus remains on extracting maximum value through profitable market share from its 15 trading chains and investment into strategic enablement projects, predominantly in the technology and supply chain functions. Forecast capital expenditure for FY2026 is anticipated to be R1.6bn, with approximately 200 new stores and increased investment into store revamps, supply chain and technology.

"We have a strong but disciplined growth mindset. Our team has evaluated many opportunities and declined most. Our three acquisitions in recent years have delivered a combined operating profit of R1.2bn in FY2025 and continue to be earnings accretive. Our focused research is ongoing to identify the next growth vehicle that will support the achievement of our long-term vision," said Blair.

He added, "While there is a great deal of uncertainty around us, our team is extremely focused on delivering consistently strong earnings performances. Our strategy is clear, and we remain sharply focused on executing our proven business model. I extend my thanks to our more than 32 000 associates for their ongoing commitment, to our customers for their patronage and to our suppliers and landlords for their support and partnership for their efforts in achieving this result."

ENDS

The reviewed condensed consolidated financial statements, for which the directors take full responsibility, were approved by the directors on 05 June 2025 and have been reviewed by Deloitte & Touche, who issued an unmodified review conclusion report thereon. The results have been prepared under the supervision of Mr P Nundkumar, CA(SA), Chief Financial Officer.

This short form announcement has not been audited or reviewed by the company's auditors.

FINAL CASH DIVIDEND DECLARATION

Notice is hereby given that a final gross cash dividend of 593.50 cents per share was declared for the 52 weeks ended 29 March 2025, a 12.7% increase against the prior year. The group maintained its historic 63% dividend payout ratio of headline earnings. As the dividend has been declared from income reserves, shareholders, unless exempt or who qualify for a reduced withholding tax rate, will receive a net dividend of 474.80 cents per share. The dividend withholding tax rate is 20%.

The issued share capital at the declaration date is 259 792 408 listed ordinary and 3 791 874 unlisted B ordinary shares. The tax reference number is 9285/130/20/0.

The salient dates for the dividend will be as follows:

Last date to trade 'cum' the dividend	Tuesday	01 July 2025
Date trading commences 'ex' the dividend	Wednesday	02 July 2025
Record date	Friday	04 July 2025
Payment date	Monday	07 July 2025

Shareholders may not dematerialise or rematerialise their share certificates between Wednesday, 02 July 2025 and Friday, 04 July 2025, both dates inclusive.

Shareholders should note that dividend payments will be paid via electronic transfer into the bank accounts of shareholders whose banking details are held by the company's transfer secretaries, Computershare Investor Services (Pty) Ltd ("Computershare"). Shareholders whose bank account details are not held by Computershare are requested to provide such details to Computershare on 0861 100 950 to enable payment of the dividend and all future dividends. Where shareholders do not provide the transfer secretaries with their banking details, the dividend will not be forfeited, but will be marked as "unclaimed" in the share register until the shareholder provides the transfer secretaries with the relevant banking details for payout.

The dividend was approved by the Board in Durban on 05 June 2025.

DIRECTORS

SB Cohen* (Honorary Chairman), NG Payne* (Chairman), MM Blair (CEO), P Nundkumar (CFO), N Abrams*
MJ Bowman*, JA Canny*, RJD Inskip*, R Nkabinde*, H Ramsumer*, LA Swartz*

* Non-executive director

Durban
06 June 2025
JSE Equity Sponsor and Corporate Broker
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Forward looking statements

This short-form announcement is the responsibility of the directors and contains forward-looking statements that relate to the group's future operations and performance. Such statements have not been reviewed or reported on by the Company's external auditors and are not intended to be interpreted as guarantees of future performance, achievements, financial or other results. They rely on future circumstances, some of which are beyond management's control, and the outcomes implied by these statements could potentially be materially different from future results. No assurance can be given that forward-looking statements will be accurate; thus, undue reliance should not be placed on such statements.